

I always tell my new investors, “You will lose money investing with me at various points in the year, and it will always be unpleasant when it happens.” This health warning is crucial so that investors have proper expectations. If someone comes to you and says they only invest in risky assets, but guarantee you limited downside volatility, they are either extraordinary geniuses—and there are probably only two of them on the planet—or they are liars. If you are investing in assets with an annualized volatility of 20 percent to 40 percent, you’re inevitably going to take two or three decent hits to your NAV each year. And if you can’t live with those hits because your clients are telling you that they can’t live with monthly drawdowns, as soon as a position starts going against you a bit, you will sell it in a panic near the lows. You will then be psychologically impaired in regard to that position, which means you will never buy it back and will therefore miss out on any subsequent upside. Every year that the Nevsky fund has been running, we have had at least two intramonth losses of between 6 percent and 12 percent.

What is your normal net exposure range?

Between 20 percent net long to 110 percent net long. I believe that if you’re trading very volatile instruments and you are completely out of the market when it reverses, then you will never get back in again. I will have some net long exposure even when I am bearish. For example, during the first quarter of 2009, even though I was still very bearish, I was 20 percent net long. As a result, when markets reversed to the upside in March, I didn’t feel bad about buying more, since I had made some of the money on the rebound. It was mentally easy for me to double my net long exposure to 40 percent. If, on the other hand, I had been net short when the turn came, I would have been waiting for a pullback to cover my short, and the pullback never came.

But aren’t there times when the market is so negative that it makes sense to be net short?

When the market is so bad that you think it is obvious that you should be net short, that’s typically the time when it is all in the price and you should be buying. The people who annoy me the most are market strategists that work for brokers. They will recommend being